local businessman, but for the rest, the impact upon the economy was limited.

This changed with the rise of large corporations in warehousing. These corporations have a higher compliance culture. They have more at stake and cannot violate a law. Here, for the first time, the ECA has come to be a binding constraint. New life has been infused into an old piece of the repressive apparatus through the development of a capable private sector.

For another example, consider the laws about electronic surveillance. The Indian state used to have considerable power to snoop on individuals, going back to British times. These laws did not amount to much, as the Indian state did not have the capability of listening in upon too many calls. Things changed, however, with the rise of modern computer technology. For the first time, the Indian state now has the ability to record and analyse a large volume of electronic communications. The old laws can now be used to even engage in mass surveillance. New life has been infused into an old piece of the repressive apparatus through the development of state capacity.

Summing up

The policymaker has to do many things. In what order should they be done? Too often, in India, policymakers pick one of two easy things, ‘the low-hanging fruit’, and after that the reform peters out. Doing the easiest thing first is generally not the optimal sequencing.

The policy pipeline shapes sequencing. If the data is lacking, it will not be possible to make progress on policy design. Therefore, when the data is lacking, the first thing in the sequencing should be improvements in the data.

In the working of real-world systems, there are prerequisites. An inflation-targeting central bank will require a capable bond market, in order to do the monetary policy transmission. Reforms of electricity generation will not work if the electricity distribution does not work. We have to identify these choke points and solve them first.